TABLE 25.3 Mrs. Alexander's Bias Diagnostic Tests

Anchoring Bias Diagnostic Test

Question 1: Suppose you own a four-bedroom house and have decided it is time to "downsize" to a smaller house. You are not in a rush to sell your house, but taxes and general expenses on your home are significant and you want to sell it as soon as possible. Your real estate agent, whom you have known for many years and trust, lists your home for sale at $800,000. You paid only $300,000 for the house 10 years ago, so you are thrilled. The house has been on the market for several months, and you have not had any serious offers. One day, you get a phone call from your agent saying he needs to come over right away. When he arrives, he tells you that World-Books, a major employer in town, just declared bankruptcy and 1,000 people are out of work. He has been in meetings all week with his colleagues, and they estimate that real estate prices are down about 10 percent across all types of homes in your area. He says that you must decide at what price you now want to list your home based on this new information. You tell him that you will think it over and get back to him shortly. Please select one of the following that would be your answer:

a. You decide to keep your home on the market for $800,000.
b. You decide to lower your price by 5 percent to $760,000.
c. You decide to lower your price by 10 percent to $720,000.
d. You decide to lower your price to $700,000 because you want to be sure you get a bid on the house.

Scoring Guidelines: Mrs. A chose "b," and thus she may be susceptible to anchoring bias. It is clear that if she wants to sell her home, she should lower her price by 10 percent. Mrs. A demonstrates that she is "anchored" to $800,000 and will not fully adjust to the updated information.

Mental Accounting Bias Diagnostic Test

Question 1: How do you tend to think about your money?

a. I tend to think about my money as one "pot," and money is spent out of that one pot.
b. I tend to segregate my money into various accounts, such as money for paying bills, money for traveling, and money for education.
c. I tend to segregate my money based on its source, such as pension, interest income, or capital gains.

Scoring Guidelines: Mrs. A selected "b." People who select "b" or "c" may be susceptible to mental accounting bias.

Loss Aversion Diagnostic Test

Question 1: Suppose you are presented with the following investment choices. Please choose between the following two outcomes:

a. An assured gain of $400
b. A 25 percent chance of gaining $2,000 and a 75 percent chance of gaining nothing.

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